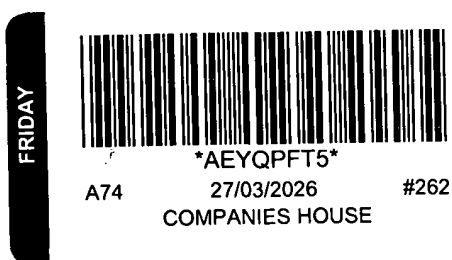


Starbucks Coffee Company (UK) Limited

Annual Report and Financial Statements

For the 52-week period ended 28 September 2025

Company Number 02959325



Starbucks Coffee Company (UK) Limited

Company Information

The Directors	A Rayner M Lingham B Malou
Registered number	02959325
Registered office	Building 7 Chiswick Park 566 Chiswick High Road London W4 5YG United Kingdom
Independent auditor	Deloitte LLP Statutory Auditor 2 New Street Square London EC4A 3BZ United Kingdom
Bankers	Citibank Citigroup Centre Canary Wharf London E14 5LB United Kingdom

Starbucks Coffee Company (UK) Limited

Company Information

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Starbucks Coffee Company (UK) Limited

Strategic report For the period ended 28 September 2025

The Directors present their Strategic report for the 52-week period ended 28 September 2025 ("FY25") (2024: 52-week period ended 29 September 2024 ("FY24")) for Starbucks Coffee Company (UK) Limited (the "Company"), a private company limited by shares. In preparing this Strategic report, the Directors have complied with s414C of the Companies Act 2006.

The principal activities of the Company are the retail and wholesale trade of coffee, tea and related products in the United Kingdom. The Company is a wholly owned subsidiary of Starbucks Coffee Holdings UK Limited, which in turn is owned by Starbucks Corporation.

The Company has been licensed, by Starbucks EMEA Ltd, to utilise the Starbucks brand across the United Kingdom, for which it pays royalties.

Financial review and key performance indicators

The Company has adopted FRS 101 — *Reduced Disclosure Framework* and has taken advantage of the disclosure exemptions allowed under this standard.

The Company's key financial and other performance indicators during the 52-week period were as follows compared to a 52-week period in FY24:

	28 September 2025	29 September 2024
	52 week	52 week
	£M	£M
Turnover	556.3	525.6
Operating (Loss) / Profit before impairment	(25.0)	0.9
Operating (Loss)	(29.8)	(27.5)
Profit / (Loss) for the financial period	30.1	(36.2)
Shareholder's funds	67.8	4.9
Current assets as a % of current liabilities	90.4%	43.5%
Number of stores and employees		
Total number of stores at year end	1,304	1,240
Number of company-operated stores	398	378
Average number of employees	5,352	5,596

The full results for the period are shown on page 28. Turnover in the period Increased by 6% to £556.3M (FY24: £525.6M), achieved against a backdrop of inflationary pressures and shifting consumer habits. The profit for the period, after taxation, is £30.1M (FY24: loss £(36.2)M). This movement primarily reflects the recognition of a deferred tax asset, as explained in more detail below and in Note 19 to the financial statements.

During the year, the Company operated in a challenging consumer environment characterised by inflationary pressures, reduced discretionary spending and increased competition. The Company maintained average transaction values and saw continued growth in participation in its loyalty programme. The Multi-Tier Redemption (MTR) structure was introduced during the year, supporting increased participation in the programme.

The operating loss for the period was £(29.8)M (FY24: loss £(27.5)M) and the operating loss before tax decreased to (5.4)% (FY24: (5.2)%), primarily driven by higher input costs, estate optimisation activities and softer trading conditions, partly offset by management-led cost efficiencies. The Company continues to focus on disciplined cost management and operational improvements.

Net operating Loss/Profit before impairments of £(25.0)M (FY24: £0.9M) was driven by the challenging consumer environment and cost impacts noted above. Please refer to note 5 for the main drivers of

Starbucks Coffee Company (UK) Limited

Strategic report (continued) For the period ended 28 September 2025

our operating costs. Net impairments in the current year of £4.8M (FY24: £28.4M), including impairments on 112 of stores £13.7M (2024: 145 stores £28.7M), and reverse impairments on 64 stores of £8.9M (2024: 35 stores of £0.3M).

During the period, the Company reported a loss before tax in the period, of £(41.3)M (FY24: £(35.2)M). Corporation tax for the year was a credit of £71.4M (FY24: £(1.0)M charge). The tax credit primarily reflects the recognition of deferred tax assets following an update to the Company's capital allowances strategy. In prior years, writing-down allowances were not claimed; however, in FY25 management determined that these allowances are expected to be utilised as the business refocuses on strengthening cash generation and supporting a sustainable recovery and investment in the business.

The deferred tax asset is expected to be realised over time through future taxable profits and the application of group relief. Further details are provided in Notes 11 and 19.

The Company opened 92 new stores during the year, bringing the total estate to 1,304 stores (FY24: 1,240). Of these, 398 were Company-operated (FY24: 378) and 906 licensed/franchised (FY24: 862). Following the acquisition of 23.5 Degrees Limited by Starbucks Corporation on 14 October 2024, during FY26, 113 stores are expected to be converted into Company-operated stores from licensed/franchised stores, increasing the proportion of Company-operated stores to approximately 40%.

The average headcount number for FY25 reduced to 5,352 (FY24: 5,596), reflecting a strategic shift towards a higher proportion of full-time roles in our stores, supporting workforce stability, a consistent customer experience and clearer long-term career opportunities for partners. A headcount breakdown can be found within note 7 of the accounts.

Business overview

The UK economic environment remained challenging during FY25, with subdued GDP growth, persistent inflation and elevated interest rates. Costs of commodities including coffee, dairy and energy remained high, alongside increased labour costs following changes to minimum wage and Employer National Insurance contributions. These factors continued to place pressure on operating margins.

Consumer demand was constrained as households faced pressure on real disposable income, resulting in cautious discretionary spending. During the year, footfall remained below pre-pandemic levels. The UK coffee market remained highly competitive with new entrants and localised speciality coffeehouses growing their market share. The Company continued to navigate changing consumer demands to respond to customer demand across both digital and in-store channels.

The Company opened 92 new stores during the year, reflecting ongoing estate development plans. New openings were targeted in locations assessed as having suitable long-term demand potential. Expansion took place in the context of a competitive property market, where securing appropriate sites remained challenging.

During the period, the Company continued to invest in digital initiatives, including updates to its loyalty programme and targeted campaigns designed to increase participation, including collaboration with the Harry Kane Foundation. In addition, the launch of the MTR system introduced a revised redemption structure, offering customers additional reward options. This allows customers to access a broader range of rewards at varying Star thresholds - from everyday items like filter coffee to premium merchandise. The Company also expanded its reach through a new partnership with UNiDAYS, increasing usage of the loyalty programme among student customers. These initiatives collectively drove an increase in customer spend and an increase in active programme members.

The Company continued to manage its menu and pricing in response to consumer preferences and cost pressures. Early access to seasonal beverages for loyalty members supported programme participation. The rollout of freshly baked in-store food products delivered positive early performance and supported food sales. Selective price increases were implemented to address rising cost inputs while maintaining options for value-sensitive customers.

Starbucks Coffee Company (UK) Limited

Strategic report (continued) For the period ended 28 September 2025

The Company opened 31 new Company-operated stores during FY25 generating 285 new jobs for the areas, whilst 11 stores permanently closed as they reached the end of their lease term. The Company has increased the number of new licensed stores by 61, with 17 closed in the period.

On the 25 September 2025, the Company announced the closure of 77 UK stores including 12 licensed stores as part of a global programme to improve profitability. Approximately 45% of impacted store employees were redeployed to nearby locations prior to the stores closing by 2 November 2025.

Starbucks Corporation acquired 23.5 Degrees Limited on 14 October 2024, bringing an additional 113 stores under Company-Operated Ownership in the UK. These stores will be integrated into the Company during FY26.

The Company continued to participate in community-focused and charitable initiatives during FY25, including partnerships with the Hubbub Foundation and NHS Charities Together. These activities align with the wider mission and commitments established by Starbucks Corporation, outlined below:

Starbucks Global Mission - To be the premier purveyor of the finest coffee in the world, inspiring and nurturing the human spirit — one person, one cup and one neighbourhood at a time.

Starbucks Global Promise - The mutual success we collectively commit to:

Our partner promise: Bridge to a better future

Our customer promise: Serve the world's finest coffee, with a moment of connection

Our farmer promise: Ensure the future of coffee for all

Our community promise: Contribute positively

Our environmental promise: Give more than we take

Our shareholder promise: Generate long-term returns

During FY25, the Company continued to review its pay and benefits structures, as well as partner experience initiatives, to remain competitive within the labour market.

The Company considers its pay and benefits structure sufficient to support the attraction and retention of employees.

The Company's long-term strategy in the region is aligned with the global "Back to Starbucks" framework and focuses on delivering consistent in-store operations.

- We will continue to drive operational efficiency through strengthening and scaling digital, and further progress efforts across Starbucks Rewards, expanding digital and technology collaborations to support operational effectiveness
- The Company will continue to review and simplify its menu to enable consistent operational delivery.
- Continue to unlock efficiency to generate savings – with two thirds of these savings outside the store operations – to deliver returns to Starbucks Corp through margin expansion and earnings growth, whilst ensuring competitive consumer pricing.
- We will continue to invest in partner training and capability development. We are developing our barista onboarding system and strengthening our store manager capabilities.

Principal risks and uncertainties

The retail speciality coffee market environment remains highly competitive with many of the main players seeking to grow market share. The Company's objective is to cement Starbucks as a well recognised and respected brand. The Company plans to invest in its partners to elevate the Starbucks experience, grow revenue and profits in existing stores and other channels, to open new profitable stores, and to continue to innovate new products.

Starbucks Coffee Company (UK) Limited

Strategic report (continued) For the period ended 28 September 2025

The potential business risks and uncertainties which the Company anticipates could have a significant effect on the achievement of these objectives, were they to occur, are shown below:

- Economic conditions (inflationary and high interest rate environment currently being seen across all areas of business, as well as a potential economic downturn).
- Damage to the brand by not maintaining product integrity or by not innovating new products, thereby failing to satisfy the existing customer base or attract new customers.
- Failure to anticipate or invest appropriately in the resources necessary to support business operations and growth.
- Adverse impacts resulting from negative publicity regarding the Company's business practices.
- Loss of business confidence through failure to maintain or build market share in the very competitive UK speciality coffee market.
- Increased administration and operational costs due to new and emerging laws and regulations.
- Significant increase in the market price or significant decrease in the availability of high-quality Arabica coffee or fluid milk could adversely affect the Company's business and financial results.
- Foreign currency risk exposure.
- Increases to labour costs and/or a shortage of available flexible labour.
- Climate-related risks (as discussed further within the climate-related financial disclosure section of this report).

The key elements of the Company's system of internal controls that minimise and mitigate against the perceived risks are:

Delegation: there is a clear organisational structure with lines of authority and responsibility for control; and procedures for reporting decisions, actions and issues. This structure enables the Directors and senior leadership team to control activities and resolve issues in a prompt and effective manner.

Reporting: key business performance indicators are reviewed and monitored on a regular basis. This ensures that the Company maintains performance standards in respect of, but not limited to, financial results, beverage and food experience to customers, cleanliness of stores and health and safety issues.

Internal audit: an internal audit function, based in Seattle, conducts an annual evaluation of the Company's internal controls over financial reporting which includes a written assessment of the effectiveness of such controls under Section 404 Sarbanes-Oxley Act.

Financial risk management: the financial risk management objectives are designed to ensure that the Company has sufficient proceeds from financial assets to fund obligations from liabilities as they fall due.

The most important components of financial risks are interest rate risk, currency risk, credit risk, cash flow risk and price risk. The Company does not have any third-party loans. It has the support of its ultimate parent, Starbucks Corporation, which is able to provide loans as required and details are outlined under the Going Concern section of the Directors' report.

Due to this policy and the nature of the Company's business as a retailer, the Directors consider interest rate risk, cash flow risk and credit risk mitigated. Interest rate hedging has not been considered necessary during the period. The Directors consider the most relevant financial risks to be price risk and currency risk. Although coffee prices are subject to considerable volatility, Starbucks tends to trade on a negotiated basis with long-term partners at a substantial premium above commodity coffee prices. The Directors consider that these two factors reduce exposure to price risk. The Company does not currently consider its foreign exchange exposure to be significant and hence does not have any forward contracts in place.

Starbucks Coffee Company (UK) Limited

Strategic report (continued) For the period ended 28 September 2025

Section 172 Statement

In accordance with Section 172 of the Companies Act 2006, the Directors of the Company have acted in a way they consider to be in good faith and most likely to promote the success of the Company for the benefit of its members as a whole. In doing so they have regarded the factors noted below:

- a) The likely consequences of any decision in the long-term;
- b) The interests of the Company's partners (employees);
- c) The need to foster the Company's business relationships with suppliers, customers and others;
- d) The impact of the Company's operations on the community and the environment;
- e) The desirability of the Company maintaining a reputation for high standards of business conduct; and
- f) The need to act fairly as between members of the Company.

The Company's business model and strategy is designed to have a long-term, beneficial impact on the Company's success by ensuring the continued success of the Starbucks experience through the sale of coffee to the general public.

The Company's partners (employees) are the cornerstone of its business and the Company ensures its common values are shared. To meet standards of excellence, the health, safety and well-being of the Company's partners is critical. The Directors are dedicated to developing all partners' talents to reach the Company's goal and meet on a regular basis with partners to provide assistance. Directors also agree and oversee required training, including health and safety.

The Company aims to act responsibly and fairly and Directors, together with the senior leadership team and wider management, engage with its regulators, investors and suppliers. Directors are regularly updated by management on developments in market regulations which allows them to make informed decisions.

The Directors recognise the importance of the Company's impact on both the community and the environment. The Company continues to support local communities through charitable initiatives, local engagement activities and partnerships that aim to create positive social value. The Directors also consider environmental implications when making operational and strategic decisions, including the responsible sourcing of products, reduction of waste, energy efficiency practices and efforts to minimise the Company's carbon footprint. The Board is committed to ensuring that the Company's operations contribute positively to the communities it serves while supporting long-term environmental sustainability.

Maintaining a reputation for high standards of business conduct remains central to the Company's values and operations. The Directors ensure that the Company operates with integrity, transparency and accountability in all business dealings. This includes adherence to internal policies, ethical codes of conduct, regulatory requirements, and ongoing monitoring of compliance across the business. The Company promotes a culture of responsibility and professionalism among its partners, recognising that upholding strong ethical standards is essential to the trust placed in the Company by customers, stakeholders and the wider public.

Streamlined energy and carbon reporting

For the reported period, the Company's overall gas consumption has decreased from 80.08 MWh in FY24 to 28.54 MWh in FY25 and electricity consumption has decreased from 27,169 MWh in FY24 to 27,069 MWh in FY25.

The Company's total reported CO₂e Scope 1, 2 emissions for FY25 reduced by 15% from 5,697 tCO₂e in FY24 to 4,836 tCO₂e in FY25. The total scope 1 and 2 emissions per million of revenue has reduced significantly against the previous period as follows: FY25 at 12.90 tCO₂e/million revenue (FY24 at 16.35 tCO₂e/million revenue).

Starbucks Coffee Company (UK) Limited

Strategic report (continued) For the period ended 28 September 2025

The Company is committed to improving its operational energy efficiency year on year, with a number of measures implemented through the reporting year, and plans to continue. These measures include the roll-out of a behaviour change programme such as ensuring that close-down procedures are adhered to minimise energy wastage as well as the implementation of timer controls on equipment which removes the reliance on manual switching and temperature control for the stores.

Carbon reporting methodology

The Company has adopted a methodology that is based on well-established frameworks. These include the UK government's Environmental Reporting guidelines (DEFRA, June 2013) and internationally recognised guidelines such as the WRI/WBCSD Greenhouse Gas Protocol (GHG Protocol).

The greenhouse gas emissions are derived by converting total UK operational activities' consumption into carbon dioxide equivalent (CO₂e) using DEFRA Conversion Factors for the relevant reporting years. Consumption data are primarily derived from purchase invoices and actual usage; where unavailable, reasonable estimates have been applied.

The Company aims to collect data covering at least 75% of the total floor area across all operationally controlled properties. To reflect the impact of the Company's entire controlled operations, a scaling factor is applied to measured emissions based on representative floor space data. This approach accounts for locations where data was unavailable or not collected.

For intensity metrics, revenue from UK equity stores is sourced from the FY25 Annual Report and Accounts. The Company has reported on location-based data.

Further details around climate disclosures for the Company can be found in the Climate-related financial disclosure section.

The strategic report and financial statements were approved and authorised for issue by the Board of directors on 27 March 2026.

M Lingham
Director

Signed by:

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Starbucks Coffee Company (UK) Limited

Directors' Report For the period ended 28 September 2025

The Directors present their report and the audited financial statements of Starbucks Coffee Company (UK) Limited (the "Company") for the 52-week period ended 28 September 2025 (2024: 52-week period ended 29 September 2024).

Disclosures required under s416(4) which have been elevated to the Strategic report are:

- Financial risk management objectives and policies.
- Price risk, credit risk, liquidity risk and cash flow risk.
- Energy and carbon reporting.

Principal activities

The principal activities of the Company are the retail and wholesale trade of gourmet coffee, tea and related products in the United Kingdom.

Directors

The Directors who served throughout the period and up to the date of signing the financial statements, are shown below:

A Rayner

M Lingham

B Malou (Appointed 11 Nov 2024)

Directors' liabilities

The Company has granted an indemnity to one or more of its directors against liability in respect of proceedings brought by third parties, subject to the conditions set out in the Companies Act 2006. Such qualifying third-party indemnity provision remains in force as at the date of approving the Directors' report.

Dividends

During the period, the Company did not pay or recommend to pay a dividend (FY24: £ nil).

Going concern

The Directors have prepared forward-looking cash flow projections and, based on the continued availability of the £70M revolving credit facility, the £30M capital injection received during the year, and the additional £60M capital contribution received from the parent company after the reporting date, together with the formal commitment of financial support from Starbucks Corporation for at least the next 12 months from the date of approval of these financial statements, have a reasonable expectation that the Company has adequate resources to meet its obligations and continue in operational existence for the foreseeable future. Accordingly, the going concern basis of preparation has been adopted.

Business relationships

A memorable customer experience in-store is core to the Company's mission. The Company's green apron partners in both company-operated and license stores are vital to delivering this customer experience and the Company has continued to invest in the Attensi gamified learning platform to ensure a consistent experience for customers across the estate. Within the last year, new core training programmes for our Baristas have been launched, including a customer service module focused on developing consistent customer service behaviours throughout the whole estate.

Our licensing operations team continue to build strong trust-based relationships with our licensees. Regular updates and strategic meetings are held which help to keep the dialogue going, to build and nurture the Starbucks brand within the UK.

Starbucks Coffee Company (UK) Limited

Directors' Report (continued) For the period ended 28 September 2025

The Company's supply chain team engages closely with key suppliers, to ensure that the Company has strong commercial relationships and to mitigate the risks of any potential supply chain impacts that could affect its business.

Relationships are also maintained with banks, government bodies, registered charities and professional service firms.

Future developments

The Company remains committed to its 2026 objectives, focusing on navigating ongoing market challenges such as the cost-of-living crisis and heightened cost pressures stemming from the Government's Autumn Budget, including minimum wage increases and a frozen tax threshold. While these factors may affect like-for-like store sales and operating margins, we anticipate the business will remain resilient. This confidence is underpinned by our continued emphasis on strengthening our product proposition, driving operational excellence, expanding our store network, managing costs effectively, leveraging pricing opportunities, enhancing automation efficiencies, and pursuing strategic growth investments.

On 14 October 2024, Starbucks Corporation completed the acquisition of 23.5 Degrees Limited, the UK's largest local licensee, adding 113 stores to its Company-Operated portfolio. This strategic move reinforces the brand's growth ambitions in the UK and demonstrates continued confidence in the market's long-term potential. Over the coming year, our priority will be to fully integrate the business end-to-end under Company-Operated ownership, ensuring alignment across operations and delivering a seamless transition.

Events since the Balance sheet date

Subsequent to the balance sheet date, the Company undertook the following significant events:

FY25 Store Closures and Reassignment

Following a comprehensive review of the EMEA company-operated retail footprint across the UK, Switzerland, and Austria, the Group approved a one-time portfolio optimization initiative resulting in the planned closure of certain stores.

The initiative was formally announced on 25 September 2025, prior to the year-end. The related financial impacts have been appropriately recognised in the FY25 results in line with applicable accounting standards.

23.5 Degrees Group Restructuring

Subsequent to the balance sheet date, the Company undertook an intra-group restructure of the 23.5 Degrees Group acquired in October 2024.

On 22 December 2025, Starbucks Coffee Holdings (UK) Limited, the direct parent company of Starbucks Coffee Company (UK) Limited, approved the contribution of the beneficial interest in 23.5 Degrees Limited to the Company.

Effective 23 February 2026, the Company entered into a Business Transfer Agreement with 23.5 Degrees Limited under which the business, assets and liabilities of 23.5 Degrees Limited were transferred to the Company as a going concern.

The transfer was completed for nil consideration by way of a dividend in specie declared by 23.5 Degrees Limited and included the assumption of all operating assets and liabilities of the business, as well as the transfer of employees under the TUPE Regulations.

Starbucks Coffee Company (UK) Limited

Directors' Report (continued) For the period ended 28 September 2025

Consistent with IAS 10, both transactions are considered non-adjusting events, as they relate to restructuring actions initiated after the reporting date and do not provide evidence of conditions existing as at 28 September 2025. Accordingly, no adjustments have been made to the financial statements.

Capital Contribution from Parent Company

On 20 February 2026, the Company received a capital contribution of £60 million from Starbucks Coffee Holdings (UK) Limited, its direct parent company. This contribution was made to strengthen the Company's liquidity position in light of financial pressures experienced during FY24 and FY25, as well as costs associated with the Company's one-time portfolio optimisation initiative and the acquisition-related restructuring of the 23.5 Degrees group.

As part of the same funding plan, the Company made a £20 million capital contribution to its subsidiary, 23.5 Degrees Limited, to support the ongoing restructuring of that business and to meet additional cash requirements. Part of the funds received from the parent company, £40M, were used to partially repay the Company's £55 million outstanding credit facility draw. The capital contribution also restores the Company's equity position, which had become negative as a result of the FY25 loss.

In accordance with IAS 10, this capital contribution and the related intra-group funding arrangements are considered non-adjusting events, as they relate to actions taken after the reporting date and do not provide evidence of conditions existing as at 28 September 2025. Accordingly, no adjustments have been made to the financial statements.

No other matter or circumstance has arisen since 28 September 2025 that has significantly affected, or may significantly affect the consolidated entity's operations, the results of those operations, or the consolidated entity's state of affairs in future financial years.

Political contributions

No political contributions were made in the current year or previous year.

Disabled partners (employees)

The Company recognises its responsibility towards individuals that may have a disability and gives full and fair consideration to applicants in positions suited to their abilities where appropriate openings exist. Where partners become disabled during their service, every effort is made to provide them with meaningful support and assistance and continued employment. It is the policy of the Company that the training, career development and promotion of disabled partners should, as far as possible, be consistent with that of other partners.

Employee (partner) involvement

The Company's partners are integral to the success of the business, and the Company is committed to supporting them to have a rewarding and meaningful career at Starbucks. To this end, Starbucks is rolling out a new Operations structure in February 2026, designed to give its partners significant new opportunities to develop, and to build greater bench strength.

The Company is committed to supporting the wider community through its Opportunity Hiring Programmes, partnering with a number of external charities and providers to open up pathways into employment for the young and disadvantaged groups. Programmes to provide training, and jobs, for refugees, offenders and deaf people are all now well established. This work is also supported through offering quality, progressive apprenticeships, with close to 250 learners on Apprenticeship programmes this year.

Starbucks Coffee Company (UK) Limited

Directors' Report (continued) For the period ended 28 September 2025

Aside from the Company's commitment to employing young people, it has a strong legacy of being a diverse and inclusive employer. Starbucks offers a number of partner networks for partners to get involved in, encouraging diverse voices to be heard and providing a platform for partners to get involved; these networks include Cultural Awareness, Wellbeing and Pride.

To further support its partners in creating an environment in which inclusion, diversity and wellbeing are prioritised, the Company offers a number of training programmes through its Attensi training platform. These include inclusion & diversity training, and training on making all customers welcome at all times.

In FY24 the Company launched British Sign Language training across all of our stores in the UK, with well over 10,000 green apron partners completing this training to date. This training, which educates our partners on how to create a truly welcoming environment for members of the deaf community, was developed in partnership with the British Deaf Association and has received significant external recognition, winning two awards at the 2024 British Training Awards. Starbucks built on this success, rolling out a further BSL module in the last year, and planning on creating a third in FY26.

Employee (partner) training

The company will continue its work towards driving engagement with apprenticeship programmes. In FY25, Starbucks UK had over 200 partners enrolled in its apprenticeship programme, and widened its suite of available programmes to include Data Apprenticeships, Coaching and a fast-track Hospitality Team Leader Apprenticeship designed to develop new Baristas into store leaders in just over a year.

The Company will continue this work in FY26, continuing to innovate and provide new developmental pathways.

FY25 saw significant progress made to standardise the partner experience across Starbucks's UK licensees. A partner metric scorecard was introduced, allowing for benchmarking on key KPIs (partner turnover for example) to take place. The Company also opened up spaces in some of its to licensees for the first time, and supported a number of licensees in the set up of Apprenticeship programmes of their own.

The Company also continued to offer a number of established training programmes in FY25, such as People Leader, as well as roles focused on partner wellbeing, such as Mental Health Allies. The Company continued to refine its online, gamified learning solution, launching new training programmes such as Barista First 30 and a new Customer Experience module.

In FY26 The Company will focus on providing clear career pathways through the introduction of a new Operations structure. New training journeys have been developed and are being rolled out in support of this, delivering commercial awareness training for our Assistant Store Managers, and a development programme in support of the new Operations Support Manager role. The company will also rollout a new additional responsibility role for selected Store Managers, that of Manager Development Coach. This role will focus on driving consistency and embedding learning excellence across the whole estate.

Employee (partner) engagement

The Company continues to engage with partners through round tables and partner forums and its Partner Voice Board — akin to an employee council, designed to improve the two-way flow of information and address partner concerns in a more cohesive way, having a particular focus on partner wellbeing.

The Company is also increasing its partner engagement with regards to activity related to inclusion and diversity. It has added an additional partner network, Partners for Sustainability, to its existing four partner networks: Women's Impact Network, Black Partner Network, Pride Alliance Network, and Wellbeing Blend as engagement and education channels, with supporting events in dedicated heritage

Starbucks Coffee Company (UK) Limited

Directors' Report (continued) For the period ended 28 September 2025

months. It also has an Inclusion & Diversity Working Group, focusing on ensuring it continues to be an inclusive place to work, where everyone is welcome.

Auditor

Deloitte LLP have expressed their willingness to continue in office as auditor and a resolution to reappoint them will be proposed at the forthcoming Annual General Meeting.

Information to auditor

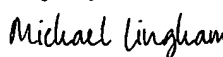
Each of the persons who is a director at the date of approval of this report confirms that:

- so far as the Director is aware, there is no relevant audit information of which the Company's auditor is unaware, and
- the Director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

This confirmation is given and should be interpreted in accordance with the provision of s418 of the Companies Act 2006.

This report and financial statements were approved and authorised for issue by the Board of directors on 27 March 2026.

M Lingham
Director

Signed by:

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Starbucks Coffee Company (UK) Limited

Directors' responsibilities statement For the period ended 28 September 2025

The Directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law, including FRS 101 "Reduced Disclosure Framework"). Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the United Kingdom governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Starbucks Coffee Company (UK) Limited

Statement of Corporate Governance For the period ended 28 September 2025

Statement of Corporate Governance

The Board of Starbucks Coffee Company (UK) Limited (the “Company”) recognises the importance of sound corporate governance and has decided to apply the Corporate Governance Code published by the Wates Corporate Governance Principles detailed out below. The Code was chosen as the most appropriate framework for the Company, having regard to its strategy as well as its size, nature and resources.

The sections below set out the ways in which the Company applies the six principles of the Code in support of the Company’s medium to long-term success.

Principle 1: Purpose and leadership

Application (as set out by the Wates Principles)

An effective board develops and promotes the purpose of a company, and ensures that its values, strategy and culture align with that purpose.

Starbucks Compliance

The Company’s strategy and business model are developed by the General Manager (GM) and her senior leadership team and approved by the Board. The senior leadership team, led by the GM, is responsible for implementing the strategy and managing the Company at an operational level. The strategy sets the overall priorities for the Company, which are subsequently implemented via functional business plans and, at an individual level, personal objectives.

Principle 2: Maintain the Board as a well-functioning, balanced team led by the chair

Application (as set out by the Wates Principles)

Effective board composition requires an effective chair and a balance of skills, backgrounds, experience and knowledge, with individual directors having sufficient capacity to make a valuable contribution. The size of a board should be guided by the scale and complexity of the company.

Starbucks Compliance

The Board comprises the General Manager and Finance Director of Starbucks Coffee Company (UK) Limited. A board of three statutory directors is considered appropriate given the Company is part of a larger group, with oversight from EMEA and US parent, hence no formal chair.

The Directors are supported in the management and running of the business by the Company’s senior leadership team.

As at the signing of the FY26 financial statements, the serving directors were A. Rayner, M. Lingham, and Bernardin Malou, all representing Starbucks Coffee Company (UK) Limited.

Principle 3: Directors responsibility

Application (as set out by the Wates Principles)

The board and individual directors should have a clear understanding of their accountability and responsibilities. The board’s policies and procedures should support effective decision-making and independent challenge.

Starbucks Coffee Company (UK) Limited

Statement of Corporate Governance (continued) For the period ended 28 September 2025

Starbucks Compliance

An informal evaluation process for Board performance has been followed to date. The Board continues to follow UK and EMEA policies and procedures which promotes the long-term sustainable growth of the business in the market.

Principle 4: Opportunity and risk

Application (as set out by the Wates Principles)

A board should promote the long-term sustainable success of the Company by identifying opportunities to create and preserve value, and establishing oversight for the identification and mitigation of risks.

Starbucks Compliance

The Company acknowledges its responsibility for reviewing the effectiveness of the systems that are in place to manage risk and to provide reasonable assurance with regard to the safeguarding of the Company's assets.

The Company has an approval system in place, with senior approval required for significant store investment, capital expenditure and other purchases. All contracts are reviewed by the legal team, with external support as required, and must be approved by the GM and Finance Director.

The Company has set up a Risk Committee created by M Lingham, focused on the identification, evaluation and mitigation of risks. The Risk Committee is chaired by the Legal Director.

Principle 5: Remuneration

Application (as set out by the Wates Principles)

A board should promote executive remuneration structures aligned to the long-term sustainable success of a company, taking into account pay and conditions elsewhere in the company.

Starbucks Compliance

Each serving director has defined objectives and targets that reflect the Company's vision and strategic priorities, ensuring alignment with performance goals and remuneration frameworks designed to drive long-term success.

Principle 6: Stakeholder relationship and management

Application (as set out by the Wates Principles)

Directors should foster effective stakeholder relationships aligned to the company's purpose. The board is responsible for overseeing meaningful engagement with stakeholders, including the workforce, and having regard to their views when taking decisions.

Starbucks Coffee Company (UK) Limited

Statement of Corporate Governance (continued) For the period ended 29 September 2024

Starbucks Compliance

The Board is regularly updated on wider stakeholder engagement and feedback in order to stay abreast of customers, suppliers and employees' (partner) insights into the issues that matter most to them and our business.

The Company's Operations team builds strong relationships with its licensees, which are underpinned by regular dialogue.

The Company's supply chain team engage closely with key suppliers, to ensure that the Company has strong commercial relationships and to mitigate the risks of any potential supply chain impacts that could affect its business.

The Company's PRO (HR) team engages closely with partners on all levels. This occurs through regular meetings, and half a year pulse surveys, in order for partners of all levels to feedback and have their views heard.

Starbucks Coffee Company (UK) Limited

Climate-related financial disclosure For the period ended 28 September 2025

Background:

Effective for periods commencing on or after 6 April 2022, Climate-Related Financial Disclosures ('CFD') have been introduced under the Companies Act 2006 in the UK. As part of the requirement, UK companies with more than 500 employees and £500m turnover are required to make CFD. The Company meets the threshold for reporting during the year ended 28 September 2025 and has set out relevant CFD to comply with the requirement as detailed below.

Governance:

Starbucks Corporation ('Starbucks', and collectively with its subsidiaries, the 'Group'):

Starbucks board of directors (the 'Board') has ultimate responsibility for risk oversight, including, as part of regular Board and committee meetings, general oversight of executives' management of risks relevant to the Group. This includes oversight of environmental risks, including climate-related issues. The Chief Executive Officer ('CEO'), who serves as Chair of the Board, has general charge and supervision of the business and strategic direction of the Group. The CEO meets regularly with relevant internal leaders, including Starbucks Chief Sustainability Officer ('CSO') to discuss strategies and initiatives related to environmental risks and sustainability. The Audit and Compliance Committee of the Board (the 'Audit Committee') is responsible for reviewing periodically and discussing with management the Group's major and emerging risk exposures, including financial, operational, legal, and regulatory risks, the steps the Group has taken to monitor and control such exposures, and the Group's risk assessment and risk management programs, policies, and procedures.

The Group maintains a management-level Risk Management Committee that is co-managed by Starbucks chief financial officer ('CFO') and chief legal officer and meets regularly to discuss enterprise risk management ('ERM'). The Risk Management Committee identifies, assesses, and prioritizes the Group's critical risk exposures to its business operations across various time frames, from the short term to the long term, throughout the world. Risks are evaluated based on their potential magnitude, likelihood, and immediacy and are monitored over time to ensure risk profile changes are evaluated in a timely manner for existing and emergent risks. The Risk Management Committee leverages the expertise of Starbucks executive leadership team members and consults with outside experts. The Risk Management Committee identifies and assesses the effectiveness of the Group's risk management and mitigation methods and periodically reports its findings to the Audit Committee. At least annually, the CFO reviews the methodology and approach used to identify, assess, and manage risks. The CFO also discusses the key risks identified in the ERM process with the Audit Committee and the full Board, soliciting input from Starbucks directors on the steps taken to mitigate risks and plans for additional mitigation in the year ahead.

The CSO regularly convenes a forum of senior leaders responsible for reviewing and implementing initiatives aligned with the Group's climate-related strategy.

See further information on the Group's corporate governance in Starbucks Corporation's Proxy Statement.

EMEA region:

The board of directors of Starbucks EMEA retains overall oversight of climate-related matters with the support of the EMEA Leadership Team ('EMEA LT'), who meet at least annually to review and assess climate impact on the strategies of the region.

The EMEA LT, comprised of senior leaders, is responsible for identifying, assessing, and managing climate-related risks identified in the EMEA region and for supporting climate-related initiatives that contribute to the Group's climate strategy. Climate-related risk and mitigation activities are evaluated annually and communicated to the Group's Risk Management Committee in accordance with the existing risk management processes (described in the Governance section).

Company level:

At the Company level, the General Manager and the Finance Director (together, the 'Directors') are responsible for overseeing the climate-related risks and opportunities.

Starbucks Coffee Company (UK) Limited

Climate-related financial disclosure (continued) For the period ended 28 September 2025

The Directors are supported by the Company's Leadership Team. The Leadership Team, comprised of cross-functional leaders, is responsible for supporting primary decision-making for management on climate-related risks and the implementation of climate-related initiatives across the Company. Progress is reported quarterly to the EMEA Leadership Team, which provides the central governance mechanism overseeing climate-related matters.

Strategy and risk management:

Climate-related risk is fully integrated into the Company's risk management framework as a principal risk for the business and the framework evaluates the wider impact of climate-related matters across other business risk areas such as supply chain operations and legal compliance with new and emerging regulations. The process for identifying, assessing, and managing climate-related risk is the same as for other business risks, and is reviewed at least annually by management and the board of directors of the Company. The risk mitigation and risk management action plan is set out at the beginning of the financial year for all principal risks, including climate-related risk; and its progress is reviewed by management quarterly.

Time horizons:

We typically consider our business risks and financial forecasting of a period up to three years which includes how climate-related matters may contribute to other key business risks within that timeframe. However, as climate-related matters often manifest over the longer term, extended time horizons, defined below, are used to assess the potential impact of climate-related matters on the business distinctively.

Time horizon	Rationale for the selection of the time horizon used to assess climate-related impacts
Short-term (Now – 2030)	Aligned to the UK and European Commission's interim environmental, energy and climate targets which drive changes in the regulatory landscape.
Medium-term (2031 – 2040)	A mid-point to assess progress between the short and long-term time horizons.
Long-term (2041 – 2050)	Aligned to the International Energy Agency ('IEA') climate scenarios, which are recommended by the Task Force on Climate-Related Financial Disclosures ('TCFD'), and consistent with national and industry targets.

Scenario pathways:

Climate-related risks have been considered over three Representative Concentration Pathways ('RCPs'):

Net Zero (RCP 2.6) ¹	Limiting global temperature to 1.5°C over pre-industrial levels by 2100 through stringent and immediately introduced climate policies and innovation, reaching net zero CO2 emissions by 2050.
Delayed transition (RCP 4.5) ²	Follows a path in which social, economic, and technological trends do not shift noticeably from historical pattern and the world takes action to limit emissions growth. Emissions are not reduced in the short term and does not achieve goals set out in 'The Paris Agreement', resulting in > 2°C warming by 2050 and between 2 °C to 3 °C, by 2100 with a mean sea level rise 35% higher than that of RCP 2.6.
Current policies (RCP 8.5) ³	Emissions continue to rise throughout the 21st century. It assumes no changes to policies. The world does not cut emissions and climate change accelerates causing 2.5°C of warming by 2050 and >4°C by 2100 bringing irreversible changes.

¹ This scenario involves more transition risks early on but manages to limit physical risks to a minimum.

² RCP 4.5 is described by the Intergovernmental Panel on Climate Change (IPCC) as a moderate scenario in which emissions peak around 2040 and then decline.

³ This scenario involves limited transition risks but results in irreversible and globally disrupting physical risks.

Starbucks Coffee Company (UK) Limited

Climate-related financial disclosure (continued) For the period ended 28 September 2025

The impact of climate-related risks was modelled across all three scenarios (or pathways) to explore how different sets of assumptions and scenarios can result in different outcomes. Quantitative analysis focuses on RCP 4.5 (physical risks) and RCP 2.6 (transition risks).

Inputs to the scenario analysis:

Inputs include internal financial data and external sources like IEA carbon pricing and GDP projections. Models are reviewed annually and updated every three years or upon significant changes. This year we have identified no significant changes in our businesses and external inputs that would require an update to the existing scenario analysis. We will renew our climate scenario analysis in the next financial year with the latest financial and operational information.

Scenario analysis outcomes and business resilience

The outcomes of the scenario analysis set out in the table below are presented at gross impact, before any mitigating or contingent actions, on revenue and cost. The same applies to the qualitative assessment used to support the identification and materiality assessment of risks.

Physical risks - Acute: The financial impact from extreme weather events is expected to be low across all time horizons and in each different scenario given our top distribution centres, roasting plants and key suppliers are not located in flood prone areas, or areas that are expected to be significantly impacted by storms, blizzards, and winds. To date, we have not experienced any material change to the value of assets and disruption to key supplies due to such events.

No material impacts have been observed to date. due to the diversification of our locations. No significant climate-related event triggers for impairments have been identified during the year.

Physical risks - Chronic: The impact of global warming on coffee yields, its pricing and the suitability of coffee growing lands, especially in the medium to long term, poses a material risk to our global business and is actively managed. To understand the risks associated with each sourcing country, three indicators were assessed in our analysis: change in suitable area, deforestation risk and vulnerability index considering the impact to human population and the capacity of the country to adapt. The Group continuously assesses and invests in this area as part of its risk management strategies. See the further mitigation actions below.

Transition risks: Transition risks are those arising from the changes in technology, markets, policy, regulation, and consumer sentiment which will result from the transition to a low carbon world.

Scope 1, 2 and 3 emissions were accounted for in modelling carbon-related cost. However, the anticipated carbon-related costs will likely be less given an insignificant portion of our purchases are in scope for carbon-related taxes and carbon pricing mechanisms.

New and emerging climate-related regulations impact the business strategy and operation, particularly in the net zero scenario RCP2.6, where there are mitigating actions to limit global warming in the short term.

The Company's success depends substantially on the value of the brand and failure to preserve brand reputation could have a negative impact on our financial results. Management views the ongoing relevance of the brand and competitiveness may depend on the Group making sufficient progress in its environmental performance irrespective of the quantitative outcomes of the model. Moreover, it is important to note that consumer behaviour is inherently uncertain and challenging to model.

See further information on key risk mitigation activities below.

Resilience:

Whilst the climate-related risks identified may individually or in aggregate have a high impact to the business operations, strategy, and financial performance of the Company, the board of directors of the Company considers the risks to be managed or mitigated through actions combined with strategic initiatives led by the forum of senior leaders. As a result, the board of directors of the Company is satisfied with the Company's resilience to climate-related risks under all scenarios.

Starbucks Coffee Company (UK) Limited

Climate-related financial disclosure (continued) For the period ended 28 September 2025

Limitations to the models:

Scenario models are exploratory and not predictive. Understanding and quantifying the financial effects of climate changes is inherently challenging owing to the high degrees of uncertainty and significant use of judgements and estimates. This is particularly true over the longer time horizon with different pathways, timing of interventions in different markets, their implications for economies, and how the industry and consumers would respond. Climate models and scenarios will refine over time as knowledge in this area grows.

Climate risks and opportunities:

Climate-related risks have been modelled to assess for the impact on the Company's financial performance where applicable and feasible. The results of the climate-related scenarios and key mitigation activities are detailed below.

Risk description and potential impacts	Result ⁴	Key mitigation activities
Physical Risks – RCP 4.5:		
Acute - increased frequency and severity of floods, storms, blizzards, and winds impacting business operations and efficiency: - disruption to supply chain causing inability to fulfil the demand; and - write-offs/early retirement of existing assets, and cost to replace for new assets.	2030: Low 2040: Medium 2050: Medium	- The Group and key suppliers have established disaster recovery programs to minimise disruption from severe weather events; - Commodity price risks are managed by the Group using a combination of pricing features embedded within the supply contracts; and - Climate-related risks to coffee supplies is managed at Group level via strategic sourcing initiatives and upstream collaborations such as operating Farmer Support Centers worldwide, where agronomists and quality experts work alongside coffee farming communities to promote best practices in coffee production to improve coffee quality and yield as well as to address climate change and other impacts.
Chronic - increased droughts as a result of climate change, reducing coffee crop yield, resource availability and productivity: - reduced margin due to increased cost of raw materials and loss of productivity; and - decreased availability of supplies causing inability to fulfil the demand.	2030: Medium 2040: Medium 2050: High	
Chronic - change in global average temperature in tropical areas, changing climate patterns and seasonality heightening risks of pests, diseases and fungus and reducing the land suitability for coffee growing for certain areas: - increase in the cost of raw materials; and - reduced revenue due to inability to fulfil the demand.⁵	2030: Medium 2040: Medium 2050: High	

⁴ Risk ratings (High, Medium, and Low) are corresponding to those used in the enterprise risk management framework. The outcomes presented at gross impact, before any mitigating or contingent actions, on revenue and cost.

⁵ Qualitative assessment

Starbucks Coffee Company (UK) Limited

Climate-related financial disclosure (continued) For the period ended 28 September 2025

Transition Risks – RCP 2.6:		
Policy and Legal - the growth of new and emerging ESG regulations results in increased costs: - increased cost of goods sold due to more stringent regulations; and - increased operating and capital expenditures on ESG compliance activities to avoid non-compliance fines and legal costs.	2030: Medium 2040: High 2050: High	- Monitor and assess regulatory updates and developments; - Coordinate cross-functional teams to implement the compliance roadmap; - Conduct annual licensee's carbon footprint assessments; monitor hotspots and engage on targets and action plans; - Invest in innovative packaging solutions, and incentivise the use of reusable cups; - Minimise waste through recycling, composting, and inventory management; - Offer free dairy alternatives in selected company-owned stores, and licensed stores across key markets; and - Expand verification of coffeehouses across the region for energy, water, and waste reduction practices.
Policy and Legal - increased cost due to higher carbon prices with the evolution of carbon taxes and carbon pricing mechanisms ('CBAM'): - increased direct costs due to carbon taxes and CBAMs; and - increased cost of goods sold due to indirect cost passed on from suppliers.	2030: Medium 2040: Medium 2050: High	
Market/Reputational - increased customer concern or negative perception on the ability of Starbucks to limit any negative impact on the environment: - reduced revenue/demand due to reputation impacts; and - increased cost to protect brand reputation and trust.	2030: Low 2040: High 2050: High	
Reputational – licensed-operated businesses not aligning with Starbucks ambitions: - reduced revenue/demand due to reputation impacts; and - increased cost to protect brand reputation and trust.	2030: Medium 2040: High 2050: High	

We also recognise that climate change and the transition to a low-carbon world present strategic opportunities. Key climate-related opportunities embedded into the Group's strategy include:

- Use of low emissions energy sources and energy efficient technology** - investing in energy-efficient technologies and transitioning to lower emission energy sources within our operation could reduce long-term operating expenses; and mitigate risks from energy price volatility, grid instability and carbon-related taxes.
- Shift in consumer preference** - consumers demand for low-emission lifestyles could result in increased sales of low environmental impact products such as re-use, non-dairy milk, and non-meat food items.
- Development of climate adaptation** - improving our climate change adaption and resilience strengthens supply chain reliability, particularly for key commodities, which, in turn, can promote increased revenue from improved yields.

Metrics and targets:

The Company does not operate against standalone climate-related metrics or targets at the entity level. The Group has group-level climate-related targets and metrics, to which the Company contributes, and the Group's targets and metrics can be found in the Group's Global Impact Report.

Starbucks Coffee Company (UK) Limited

Independent auditor's report to the members of Starbucks Coffee Company (UK) Limited

Report on the audit of the financial statements

Opinion

In our opinion the financial statements of Starbucks Coffee Company (UK) Limited (the 'company'):

- give a true and fair view of the state of the company's affairs as at 28 September 2025 and of its loss for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, including Financial Reporting Standard 101 "Reduced Disclosure Framework";
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements which comprise:

- the profit and loss account;
- the balance sheet;
- the statement of changes in equity; and
- the related notes 1 to 26.

The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 101 "Reduced Disclosure Framework".

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the Financial Reporting Council's (the 'FRC's') Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Our evaluation of the directors' assessment of the company's ability to continue to adopt the going concern basis of accounting included an evaluation of management's assessment of the company's ability to continue as a going concern. We reviewed the entity's forecasts used in their assessment in light of recent results and we considered the willingness and ability of the parent company to provide support if required, including engaging the parent company auditor to confirm the results of their assessment of the parent group's ability to continue as a going concern.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Starbucks Coffee Company (UK) Limited

Independent auditor's report to the members of Starbucks Coffee Company (UK) Limited (continued)

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Extent to which the audit was considered capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below.

We considered the nature of the company's industry and its control environment, and reviewed the company's documentation of its policies and procedures relating to fraud and compliance with laws and regulations. We also enquired of management and the directors about their own identification and assessment of the risks of irregularities, including those that are specific to the company's business sector.

We obtained an understanding of the legal and regulatory frameworks that the company operates in, and identified the key laws and regulations that:

- had a direct effect on the determination of material amounts and disclosures in the financial statements. These included the UK Companies Act and tax legislation; and
- did not have a direct effect on the financial statements but compliance with which may be fundamental to the company's ability to operate or to avoid a material penalty.

We discussed among the audit engagement team including relevant internal specialists regarding the opportunities and incentives that may exist within the organisation for fraud and how and where fraud might occur in the financial statements.

Starbucks Coffee Company (UK) Limited

Independent auditor's report to the members of Starbucks Coffee Company (UK) Limited (continued)

As a result of performing the above, we identified the greatest potential for fraud in the following area, and the procedures we performed to address it are described below:

- Input assumptions made by management in assessing the impairment of tangible fixed assets and right of use assets - Our audit procedures include making enquiries of management, and evaluating the input assumptions such as growth rates and discount rates with reference to historical performance and independent benchmarks and performing sensitivity analyses.

In common with all audits under ISAs (UK), we are also required to perform specific procedures to respond to the risk of management override. In addressing the risk of fraud through management override of controls, we tested the appropriateness of journal entries and other adjustments; assessed whether the judgements made in making accounting estimates are indicative of a potential bias; and evaluated the business rationale of any significant transactions that are unusual or outside the normal course of business.

In addition to the above, our procedures to respond to the risks identified included the following:

- reviewing financial statement disclosures by testing to supporting documentation to assess compliance with provisions of relevant laws and regulations described as having a direct effect on the financial statements;
- performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud;
- enquiring of management and in-house legal counsel concerning actual and potential litigation and claims, and instances of non-compliance with laws and regulations; and
- reading minutes of meetings of those charged with governance and reviewing correspondence with relevant tax authorities.

Report on other legal and regulatory requirements

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified any material misstatements in the strategic report or the directors' report.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report in respect of the following matters if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in respect of these matters.

Starbucks Coffee Company (UK) Limited

Independent auditor's report to the members of Starbucks Coffee Company (UK) Limited (continued)

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.



Neha Kulkarni ACA (Senior Statutory Auditor)
For and on behalf of Deloitte LLP
Statutory Auditor
London, United Kingdom
27 March 2026

Starbucks Coffee Company (UK) Limited

Profit and loss account For the period ended 28 September 2025

		28 September 2025	29 September 2024
	Note	£000	£000
Turnover	4	556,279	525,618
Cost of sales		(411,945)	(390,667)
Gross profit		144,334	134,951
Administrative expenses		(174,163)	(162,417)
Operating (loss)	5	(29,829)	(27,466)
Loss on disposal of tangible fixed assets		(1,617)	(1,403)
Interest receivable and similar income	9	331	234
Interest payable and similar charges	10	(10,150)	(6,599)
Loss before taxation		(41,265)	(35,234)
Taxation charge on profit / (loss)	11	71,358	(977)
Profit / (loss) after taxation		30,093	(36,211)

The Profit and loss account above, together with the related notes, relating to the period ended 28 September 2025 reflects the trading for a 52-week period from 30 September 2024. The comparative data is for the 52-week period ended on 29 September 2024.

There was no other comprehensive income for 2025 (FY24: £ Nil).

The notes on pages 31 to 55 form part of these financial statements. All above activities arise from continuing operations.

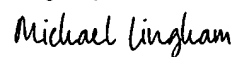
Starbucks Coffee Company (UK) Limited

Registered number: 02959325

Balance sheet As at 28 September 2025

	Note	28 September 2025 £000	29 September 2024 £000
Fixed assets			
Tangible assets	12	85,495	81,327
Right-of-use assets	13	141,158	153,660
Investment In sublease	18	11,452	10,558
		<u>238,105</u>	<u>245,545</u>
Current assets			
Stocks	14	1,789	1,981
Debtors:			
- Amounts falling due within one year	15	61,394	41,084
- Amounts falling due after more than one year	15	57,735	37
Cash at bank and in hand		29,728	19,760
		<u>150,646</u>	<u>62,862</u>
Creditors - Amounts falling due within one year	16	(134,260)	(113,349)
Current lease liability	18	(32,317)	(31,027)
Net current liabilities		<u>(15,931)</u>	<u>(81,514)</u>
Total assets less current liabilities		<u>222,174</u>	<u>164,031</u>
Creditors - Amounts falling due after more than one year	17	(117)	(85)
Non current lease liability	18	(154,247)	(159,037)
Net assets		<u>67,810</u>	<u>4,909</u>
Capital and reserves			
Called up share capital	20	317	317
Share premium account	21	42,910	42,910
Capital Injection Reserve	21	30,000	—
Profit and loss account	21	(5,417)	(38,318)
Shareholder's funds		<u>67,810</u>	<u>4,909</u>

The financial statements for Starbucks Coffee Company (UK) Limited (registration number 02959325) were approved by the Board of directors on 27 March 2026 and were signed on its behalf by:

Signed by:

M Lingham
Director

The notes on pages 31 to 55 form part of these financial statements.

Starbucks Coffee Company (UK) Limited

Statement of changes in equity For the period ended 28 September 2025

	Notes	Called up share capital £000	Share premium account £000	Capital Injection £000	Profit and loss £000	Sharehol der's funds £000
At 1 October 2023		317	42,910	—	(4,922)	38,305
Comprehensive income for the period						
(Loss) for the period		—	—	—	(36,211)	(36,211)
Total comprehensive expense for the period		—	—	—	(36,211)	(36,211)
Capital contribution for equity settled share based payments	5/23	—	—	—	2,815	2,815
At 29 September 2024		317	42,910	—	(38,318)	4,909
Comprehensive income for the period						
Profit for the period		—	—	—	30,093	30,093
Total comprehensive income for the period		—	—	—	30,093	30,093
Capital contribution for equity-settled share-based payments	5/23	—	—	—	2,808	2,808
Capital injection from parent (no shares issued)	2.2	—	—	30,000	—	30,000
At 28 September 2025		317	42,910	30,000	(5,417)	67,810

During the year, the Company received a £30m capital contribution from its parent undertaking, following Board approval. The funds were used to partially repay £20m of the Group's revolving credit facility, with the balance retained to support liquidity and operational requirements. The contribution is recognised directly in equity as capital reserve and has no impact on profit or loss.

The notes on pages 31 to 55 form part of these financial statements.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

1. Authorisation of financial statements and statement of compliance with FRS 101

The financial statements of Starbucks Coffee Company (UK) Limited (the "Company"), for the period ended 28 September 2025 were authorised for issue by the Board of directors on 27 March 2026 and the Balance sheet was signed on the Board's behalf by M Lingham.

The company is a private company, limited by shares, incorporated in the United Kingdom under Companies Act 2006 and registered in England and Wales. Details of registered address can be found on the contents page, further details around principal activities can be found within the strategic report.

The Company meets the definition of a qualifying entity under FRS 100 'Application of Financial Reporting Requirements' issued by the FRC. Accordingly, these financial statements were prepared in accordance with Financial Reporting Standard 101 'Reduced Disclosure Framework'.

These financial statements have been prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101"). Any amendments to FRS 101, effective immediately, have been applied.

The Company's financial statements are presented in Pound Sterling and all values are rounded to the nearest thousand pound (£) except when otherwise indicated.

The results of Starbucks Coffee Company (UK) Limited are included in the consolidated financial statements of Starbucks Corporation, which are available from the Investor Relations section of the Starbucks website at investor.starbucks.com.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

2. Summary of significant accounting policies and key accounting estimates

2.1 Basis of preparation

The financial statements have been prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards.

The Company has adopted FRS 101 for all periods presented. The accounting policies which follow set out those policies which apply in preparing the financial statements for the period ended 28 September 2025.

As a qualifying entity the Company has taken advantage of the following disclosure exemptions under FRS 101:

- the requirements of IFRS 7 Financial Instruments: Disclosures;
- the requirements of paragraphs 91-99 of IFRS 13 Fair Value Measurement;
- the requirement in paragraph 38 of IAS 1 'Presentation of Financial Statements' to present comparative information in respect of:
 - paragraph 79(a)(iv) of IAS 1;
 - paragraph 73(e) of IAS 16 Property, Plant and Equipment; and
 - paragraph 118(e) of IAS 38 Intangible Assets;
- the requirements of paragraphs 10(d), 10(f), 39(c) and 134-136 of IAS 1 Presentation of Financial Statements;
- the requirements of IAS 7 Statement of Cash Flows;
- the requirements of paragraphs 30 and 31 of IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors, relating to standards that are new and not yet effective;
- the requirements of paragraph 17 and 18A of IAS 24 Related Party Disclosures;
- the requirements in IAS 24 Related Party Disclosures to disclose related party transactions entered into between two or more members of a group, provided that any subsidiary which is a party to the transaction is wholly owned by such a member; and
- the requirements of paragraphs 45(b) and 46 to 52 of IFRS 2 Share-based Payments.

Where relevant, equivalent disclosures have been given in the group consolidated accounts of Starbucks Corporation.

2.2 Going concern

The Directors have assessed the Company's ability to continue as a going concern for a period of at least twelve months from the date of approval of these financial statements, in accordance with IAS 1 Presentation of Financial Statements.

In forming this assessment, the Directors have considered the Company's liquidity position, financing arrangements, forecast cash flows and profitability, together with the level of financial support available from the ultimate parent company.

During the financial year, the Company received a £30,000,000 capital injection from its parent company and operated under a £50,000,000 revolving credit facility ("RCF") which expired on 31 December 2025. On that date, the Company entered into a new £70,000,000 RCF with a term to 31 December 2026.

This facility is available until 31 December 2026 and provides liquidity support over the earlier part of the going concern assessment period. In January 2026, the Company reached a utilisation of £55,000,000 under its facilities. In February 2026, the Company received an additional £60,000,000 capital contribution from the parent company, further strengthening liquidity. On 23 February 2026, the Company made a partial repayment of £40,000,000, resulting in an outstanding balance of £15,000,000.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

The Company has obtained a formal written commitment of financial support from Starbucks Corporation, the ultimate parent company. This confirms that Starbucks Corporation will provide such financial assistance as is necessary to enable the Company to meet its obligations as they fall due for a period of at least twelve months from the date of approval of these financial statements.

In assessing going concern, the Directors have reviewed detailed cash flow forecasts for the assessment period, including severe but plausible downside scenarios. These scenarios reflect assumptions regarding trading performance, inflationary pressures, working capital movements and the utilisation of available facilities. The forecasts demonstrate that the Company maintains adequate liquidity headroom under both the base case and downside scenarios, taking into account the availability of the £70,000,000 RCF until its maturity, the parent company's letter of financial support covering the full twelve-month period from the date of approval of these financial statements, the capital injected during the year, and the post-balance-sheet capital contribution.

Based on this assessment, and after considering the parental support letter, the Directors have concluded that the Company has adequate resources to meet its liabilities as they fall due and to continue in existence for the foreseeable future. Accordingly, the Directors continue to adopt the going concern basis of accounting in preparing these financial statements.

2.3 Critical accounting judgements and key areas of estimation uncertainty

The preparation of financial statements in compliance with FRS 101 requires the use of certain critical accounting estimates. It also requires the Company's directors to exercise judgement in applying the Company's accounting policies. The areas where significant judgements and estimates have been made in preparing the financial statements and their effect are disclosed in note 3.

2.4 New standards, amendments and IFRIC interpretations

There are no new significant standards, interpretations and amendments impacting the Company that were adopted in the annual financial statements for the period ended 28 September 2025.

2.5 Significant accounting policies

a) Foreign currency translation

The Company's financial statements are presented in Pounds Sterling, which is also the Company's functional currency.

Transactions in foreign currencies are initially recorded in the entity's functional currency by applying the spot exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency rate of exchange ruling at the Balance sheet date.

All differences are taken to profit or loss. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

b) Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. Revenue is measured at the fair value of the consideration received, excluding discounts, rebates, value added tax and other sales taxes. For Starbucks UK this is predominantly at the point of sale of coffee or other food items to the customer for the consideration received.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

Royalty and license income

Revenue earned from the use of Company's license is recognised on an accrual basis in accordance with the substance of the relevant agreements.

Interest income

Revenue is recognised as interest accrues using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash receipts through the expected life of the financial instrument to its net carrying amount.

Stored value cards

For stored value cards activated or reloaded or when gift certificates are purchased at point-of-sale, an entry for deferred revenue (liability) is recorded. Revenue recognition occurs when Starbucks Cards or gift certificates are presented for redemption (as payment tender for product purchases). Estimated breakage (amounts left unspent on cards) is recognised proportionately in revenue as redemptions occur. The estimated breakage rates and redemption patterns are updated at least annually based on actual results.

Nature of Goods and Services and Performance Obligations

The Company's contracts with customers primarily include the sale of beverages, food, and related merchandise through company-operated stores. These goods and services are transferred at a point in time when control passes to the customer, typically at the point of sale. The Company also earns revenue from licensing and franchising arrangements, which include granting rights to use the Starbucks brand and providing operational support services. Under these arrangements, the Company acts as principal for royalty income and supply of products to licensees.

The Company does not act as an agent in relation to customer-facing goods or services; all retail sales are fulfilled directly by the Company or by licensees under separate contracts. No performance obligations exist to arrange for another party to transfer goods or services on behalf of the Company.

c) Income taxes

The income taxes are calculated in accordance with tax requirements in the UK.

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities, based on tax rates and laws that are enacted or substantively enacted by the Balance sheet date.

Deferred income tax is recognised on all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements, with the following exceptions:

- deferred income tax assets are recognised only to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, carried forward tax credits or tax losses can be utilised; and
- in respect of taxable temporary differences associated with investments in subsidiaries, associates and joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred income tax assets and liabilities are measured on an undiscounted basis at the tax rates that are expected to apply when the related asset is realised or liability is settled, based on tax rates and laws enacted or substantively enacted at the Balance sheet date.

The carrying amount of deferred income tax assets is reviewed at each Balance sheet date. Deferred income tax assets and liabilities are offset, only if a legally enforceable right exists to offset current tax assets against current tax liabilities, the deferred income taxes relate to the same taxation authority and that authority permits the Company to make a single net payment.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

Income tax is charged or credited to other comprehensive income if it relates to items that are charged or credited to other comprehensive income. Similarly, income tax is charged or credited directly to equity if it relates to items that are credited or charged directly to equity. Otherwise, income tax is recognised in profit or loss.

Global minimum tax (Pillar Two): In accordance with IAS 12 amendments, the Company has applied the mandatory temporary exception and has not recognised any deferred tax assets or liabilities related to Pillar Two rules.

d) IFRS 16

A lease exists if the Company is entitled to use, for a certain periods of time, an identifiable asset over which the Company has gained control, against payment. Leases mainly relate to retail and office space.

At the beginning of the lease term ("provision date"), lease right-of-use assets are valued at acquisition costs, which in particular arise from the corresponding lease liabilities and lease prepayments, taking into account leasing incentives received. Depreciation is calculated on a straight-line basis over the shorter of the lease term or the useful life of the underlying asset.

Lease liabilities are recognised at the present value of the lease payment that have not yet been made and reported under financial liabilities. Discounting is always calculated using term-specific incremental borrowing rates, as the Company is unable to determine the interest rates underlying the leases on a regular basis. The lease liabilities are updated in accordance with the effective interest method. The Company reports the corresponding interest expenses in the financial result.

As a sub-lessor the Company classifies its leases as finance leases. A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership of the underlying asset and classified as an operating lease if it does not. Under a finance lease, the sub-lessor recognises the underlying asset (investment in sublease) equivalent to the amount of future rental payments to be received along with the corresponding lease liability equal to the amounts of future rental payments expected to be paid to the head lessor, discounted using the term-specific incremental borrowing rates.

Onerous leases

The Company operates numerous leases, predominately property leases.

As part of the IFRS 16 transition, the Company elected to apply the practical expedient to take all onerous lease provisions against the new Right-of-use asset, to show the carrying amount of the right-of-use asset as if an impairment test had been conducted at the date of transition.

e) Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Company expects some or all of a provision to be reimbursed, such as under an insurance contract, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to a provision is presented in profit or loss net of any reimbursement. Contingent liabilities are not recognised but disclosed unless the possibility of an outflow of resources is remote.

f) Share-based payments

Equity-settled share-based payments to employees and others providing similar services are measured at the fair value of the equity instruments at the grant date. The fair value excludes the effect of non-market-based vesting conditions.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

The fair value determined at the grant date of the equity-settled share-based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of the number of equity instruments that will eventually vest. At each reporting date, the Group revises its estimate of the number of equity instruments expected to vest as a result of the effect of non-market-based vesting conditions. The impact of the revision of the original estimates, if any, is recognised in profit or loss such that the cumulative expense reflects the revised estimate, with a corresponding adjustment to reserves.

g) Financial assets

Initial recognition and measurement

The Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs directly attributable to the acquisition or issue of the financial asset. Debt financial instruments are subsequently measured at amortised cost or fair value through profit or loss. The classification is based on two criteria: the objective of the Company's business model for managing the assets; and whether the instruments' contractual cash flows represent 'solely payments of principal and interest' on the principal amount outstanding (the 'SPPI criterion').

The classification and measurement of the Company's financial assets is as follows:

Debt instruments at amortised cost

These assets arise principally from the provision of goods and services to customers (e.g. trade receivables), but also incorporate other types of financial assets where the objective is to hold these assets in order to collect contractual cash flows and the contractual cash flows are solely payments of principal and interest. They are initially recognised at fair value plus transaction costs that are directly attributable to their acquisition or issue, and are subsequently carried at amortised cost using the effective interest rate method, less provision for impairment.

Impairment provisions for current and non-current trade receivables are recognised based on the simplified approach within IFRS 9 using a provision matrix in the determination of the lifetime expected credit losses. During this process the probability of the non-payment of the trade receivables is assessed. This probability is then multiplied by the amount of the expected loss arising from default to determine the lifetime expected credit loss for the trade receivables. For trade receivables, which are reported net, such provisions are recorded in a separate provision account with the loss being recognised within cost of sales in the consolidated statement of comprehensive income. On confirmation that the trade receivable will not be collectable, the gross carrying value of the asset is written off against the associated provision.

Impairment provisions for receivables from related parties and loans to related parties are recognised based on a forward-looking expected credit loss model. The methodology used to determine the amount of the provision is based on whether there has been a significant increase in credit risk since initial recognition of the financial asset. For those where the credit risk has not increased significantly since initial recognition of the financial asset, twelve month expected credit losses along with gross interest income are recognised. For those for which credit risk has increased significantly, lifetime expected credit losses along with the gross interest income are recognised. For those that are determined to be credit impaired, lifetime expected credit losses along with interest income on a net basis are recognised.

h) Financial liabilities

The company's financial liabilities are measured at fair value and subsequently at amortised cost using the effective interest method.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

Interest bearing loans and borrowings

Obligations for loans and borrowings are recognised when the Company becomes party to the related contracts and are measured initially at the fair value of consideration received less directly attributable transaction costs.

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest method.

Gains and losses arising on the repurchase, settlement or otherwise cancellation of liabilities are recognised respectively in finance revenue and finance cost.

Trade Creditors

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade payables are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Financial liabilities are derecognised when the liability is extinguished, that is when the contractual obligation is discharged, cancelled or expires.

i) Fair values

The fair value of financial instruments that are traded in active markets at the reporting date is determined by reference to quoted market prices or dealer price quotations (bid price for long positions and ask price for short positions), without any deduction for transaction costs.

For financial instruments not traded in an active market, the fair value is determined using appropriate valuation techniques. Such techniques may include using recent arm's length market transactions; reference to the current fair value of another instrument that is substantially the same; discounted cash flow analysis or other valuation models.

j) Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation and any provision for impairment. Depreciation is provided on all tangible fixed assets to write off their cost, less estimated residual value, on a straight-line basis over their estimated useful lives as follows:

Short leasehold property	- Length of the lease
Plant and machinery	- 2-7 years
Fixtures and fittings	- 2-10 years
Asset retirement obligation	- Length of the lease

Assets in the course of construction are stated at cost and are not depreciated as they are not in use at the period end. Subsequent expenditure is capitalised only when it enhances the future economic benefits of the asset. Impairment testing is performed when indicators of impairment exist.

Impairment of tangible fixed assets and right-of-use assets

At each balance sheet date, the Company reviews the carrying amounts of its tangible and right-of-use assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated to determine the extent of the impairment loss (if any). Where the asset does not generate cash flows that are independent from other assets, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss.

k) Stocks

Stocks are stated at the lower of their cost and net realisable value. Stock is valued using the weighted average cost method.

l) Cash

Cash and short-term deposits in the Balance sheet comprise cash at banks and in hand and short-term deposits with a maturity of three months or less.

m) Operating profit

Operating profit is stated before investment income and finance costs.

n) Retirement benefit costs

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due. Payments made to state-managed retirement benefits schemes are dealt with as payments to defined contribution schemes where the Company's obligations under the scheme are equivalent to those arising in a defined contribution retirement benefit scheme.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

3. Critical accounting judgements and key sources of estimation uncertainty

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the amounts reported for assets and liabilities as at the balance sheet date and the amounts reported for revenues and expenses during the period.

There are no critical accounting judgements.

The following is the key area of estimation uncertainty:

Impairment of tangible fixed assets and right-of-use assets

The calculations required to determine the value in use of Company-operated stores, require estimations around key assumptions, including short-term and long-term growth rates. These are key estimates which create uncertainty given the long-term forecast calculations required.

During the current period, the Company assessed the assets using a pre-tax discount rate of 10% (FY24: 10.50%), a range of short-term growth rates tailored to the strategy for each asset, and a 3% long-term growth rate. The main assumption underlying these assessments is a return to growth and expected growth levels over the next few years. The most significant uncertainty relates to both short-term and long-term growth rates, as well as the inflationary impacts stemming from the current macroeconomic environment. Sensitivity to changes in these assumptions is disclosed in note 12.

In addition, the following is a material estimate.

Taxation

Management estimate is required to determine the amount of deferred tax assets that can be recognised, based upon management's policy on claiming capital allowances and management's forecasts of future profitability. Where actual profits fall short of forecasts, the resulting tax losses will be surrendered for group relief and accordingly the recognition of deferred tax assets is not impacted. Further details are contained in note 19.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

4. Turnover

	Period ended 28 September 2025	Period ended 29 September 2024
	£000	£000
Company-operated stores	339,221	321,405
Licensing & Franchising	216,063	203,381
Store value card breakage	995	832
Total Revenue	<u>556,279</u>	<u>525,618</u>

Turnover from continuing operations represents the invoiced amount of goods and services supplied in the period net of VAT and discounts.

All turnover derives from the Company's principal activities in the UK.

Company-operated retail store revenues are recognised when payment is tendered at the point of sale. Licensing and franchising revenue consists primarily of royalties and product sales to the licensing and franchising operations and other fees earned. Sales of coffee, tea and related products are generally recognised upon shipment to customers, depending on contract terms.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

5. Operating (loss) / profit

The loss for the period has been arrived at after charging/(crediting):

	Period ended 28 September 2025 £000	Period ended 29 September 2024 £000
Fees payable to the Company's auditor (see note 6)	296	249
Variable leases land and buildings rent	6,764	6,684
Royalties and license fees	43,230	40,368
Cost of inventories	233,161	218,401
Expected credit loss expense/(reversal)	(29)	214
Foreign exchange loss/(gain)	749	(644)
Share based payments (see note 23)	2,808	2,815
Depreciation of tangible fixed assets	12,907	14,898
Depreciation of right-of-use asset	24,097	25,347
Impairment of tangible fixed assets and right-of-use assets	4,792	28,385
Staff costs (see note 7)	129,448	118,633

The net impairment of £4.8M (FY24: net impairment of £28.4M) was measured by reference to the value in use of the assets over their useful life (refer to note 12 and 13).

In addition to fixed lease payments, the Company incurs variable lease payments of £6.8 million (2024: £6.7 million) relating primarily to property leases. These variable payments arise from contractual terms linked to factors such as store turnover and indexation clauses (e.g., CPI adjustments).

Variable lease payments are recognised in profit or loss as incurred and are not included in the measurement of lease liabilities, as they do not depend on an index or rate at the commencement date.

6. Auditor remuneration

Fees payable to Deloitte LLP for the audit of the Company's annual accounts were £296,355 (FY24: £249,145). There were no non-audit services.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

7. Staff costs

Staff costs were as follows:

	Period ended 28 September 2025	Period ended 29 September 2024
	£000	£000
Staff costs, including directors		
Wages and salaries	116,399	107,434
Social security costs	11,294	9,503
Cost of defined contribution scheme	1,755	1,696
	129,448	118,633

The average monthly number of employees, including the directors, during the period were as follows:

	Period ended 28 September 2025	Period ended 29 September 2024
	No.	No.
Store partners	5,185	5,418
Administration	167	178
	5,352	5,596

8. Directors' remuneration

	Period ended 28 September 2025	Period ended 29 September 2024
	£000	£000
Directors' emoluments	728	775
Vested shares	269	202
Company contributions to defined contribution pension schemes	7	7
	1,004	984

During the period retirement benefits were accruing to two directors (FY24: two) in respect of defined contribution pension schemes. Of the three directors of the company, one does not receive any remuneration from the company.

The highest paid director received emoluments of £616,168 (FY24: £597,748).

The value of the Company's contributions paid to a defined contribution pension scheme in respect of the highest paid director amounted to £7,178 (FY24: £7,250).

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

9. Interest receivable and similar income

	Period ended 28 September 2025	Period ended 29 September 2024
	£000	£000
Interest receivable:		
IFRS16 interest income	331	234
Total interest receivable and similar income	331	234

10. Interest payable and similar charges

	Period ended 28 September 2025	Period ended 29 September 2024
	£000	£000
Interest payable:		
Interest payable to related parties	1,534	1,347
IFRS16 Interest	8,585	5,235
Interest payable to third parties	31	17
Total interest payable and similar charges	10,150	6,599

Interest payable to related parties at a rate of 5.19% for FY25 (FY24: 5.47%).

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

11. Taxation charge on profit

	Period ended 28 September 2025 £000	Period ended 29 September 2024 £000
Corporation tax		
UK corporation tax	—	—
Adjustment in respect to prior years		
- UK corporation tax	(13,661)	455
	<u>(13,661)</u>	<u>455</u>
Deferred tax		
Origination and reversal of timing differences	(57,339)	522
Adjustment in respect to prior years	(359)	—
Effect of tax rate change on opening balance from 19% to 25%	—	—
Tax charge for the period	<u><u>(71,359)</u></u>	<u><u>977</u></u>

Corporation tax is calculated at 25.0% of the estimated taxable profit for the year (FY24: 25.0%).

Deferred taxes at the reporting date have been measured and reflected in these financial statements using the enacted tax rate at the year end of 25%.

The Organisation for Economic Cooperation and Development (OECD) established a 15% global minimum tax applied on a country-by-country basis for multinational entities under Pillar Two of its Base Erosion and Profit Shifting initiative. The United Kingdom enacted legislation to adopt Pillar Two effective for fiscal years beginning on or after 31 December 2023.

The company is in scope during fiscal 2025. In accordance with the amendments to FRS 101, the Company continues to apply the temporary exemption from accounting for deferred taxes related to Pillar Two income taxes. Consequently, no deferred tax liabilities or assets have been recognised in respect of these rules.

Based on the Company's assessment and application of the OECD transitional safe harbour provisions, no top-up tax is expected for this fiscal year, and the Company does not anticipate a material impact from Pillar Two. The Company will continue to monitor developments and reassess its position as further guidance and legislation evolve.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

The charge for the period can be reconciled to the profit in the Profit and loss account as follows:

	Period Ended 28 September 2025	Period Ended 29 September 2024
	£000	£000
Loss before tax on continuing operations	<u>(41,265)</u>	<u>(35,234)</u>
Tax at the UK Corporation tax rate of 25.0% (2024: 25.0%)	(10,589)	(8,809)
Tax effects of:		
Expenses not deductible for tax purposes	3,083	178
Share based payments	69	(132)
Other permanent differences	(466)	284
Adjustments to tax charge in respect of prior years	(202)	455
Fixed asset differences	675	9,363
Group relief surrendered/(claimed)	13,817	—
Payment/(receipt) for group relief	(13,817)	—
Recognition of deferred tax asset previously not recognised	<u>(63,929)</u>	<u>(362)</u>
Tax charge for the period	<u>(71,359)</u>	<u>977</u>

During the year, the Company created a group receivable position with Starbucks EMEA Holdings Limited, Starbucks EMEA Limited and Starbucks International (Holdings) Limited following recognition of group relief for losses in accordance with IAS 12.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 28 September 2025

12. Tangible fixed assets

	Short leasehold property £000	Fixtures and fittings £000	Plant and equipment £000	Asset retirement obligation £000	Assets in course of constructi £000	Total £000
Cost						
At 29 September 2024	121,864	51,520	53,278	2,939	7,627	237,228
Additions	15,337	13	9,657	521	3,763	29,291
Transfer	6,536	—	—	—	(6,536)	—
Disposals	(26,944)	(252)	(11,061)	—	—	(38,256)
At 28 September 2025	116,793	51,281	51,874	3,460	4,854	228,263
Depreciation						
At 29 September 2024	(72,313)	(41,069)	(39,718)	(2,801)	—	(155,902)
Charge for the period	(5,330)	(131)	(7,310)	(137)	—	(12,907)
Transfer	—	—	—	—	—	—
Disposals	12,161	4,419	5,668	—	—	22,249
Impairment reversal	2,039	862	891	—	—	3,792
At 28 September 2025	(63,443)	(35,919)	(40,469)	(2,938)	—	(142,768)
Net book value						
At 28 September 2025	53,350	15,363	11,405	523	4,854	85,495
At 29 September 2024	49,551	10,451	13,560	138	7,627	81,327

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount in order to determine the extent of the impairment loss. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets.

During the current period, the Company evaluated the recoverable amount of tangible fixed and right-of-use assets, based on the present value of estimated cash flows for each store, using a pre-tax discount rate of 10% (FY24: 10.50%), a range of short-term growth rates appropriate to the strategy for each asset and a 3% (FY24: 4%) long-term growth rate. The Company assessed the sensitivity of the above growth rates, adjusting these variables, along with the discount rate to assess the impairment sensitivity through the value in use models.

At the end of the financial year, there was a net impairment of £4.8M for tangible fixed assets and right-of-use assets in aggregate, this included £(8.9)M impairment reversals on 64 stores and an impairment charge of £13.7M on 112 stores.

The sensitivity of the following assumptions and their impact on PPE and ROU impairment is as follows:

A 0.5% increase in operating costs would lead to a net impairment of £5.1M (increase of £0.3M); this would include £8.9M impairment reversals on 64 stores and an impairment charge of £14.0M on 112 stores.

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A 0.5% increase in labour costs would lead to a net impairment of £6.4M (increase of £1.6M); this would include £8.4M impairment reversals on 60 stores and an impairment charge of £14.7M on 118 stores.

A 0.5% decrease in transactions would lead to a net impairment of £6.0M (increase of £1.2M); this would include £8.6M impairment reversals on 63 stores and an impairment charge of £14.6M on 114 stores.

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13. Right-of-use Asset

	Property	Total
	£000	£000
Cost		
At 29 September 2024	291,314	291,314
Additions	32,676	32,676
Modifications	(10,283)	(10,283)
Disposals	(1,661)	(1,661)
At 28 September 2025	<u>312,046</u>	<u>312,046</u>
Accumulated depreciation		
At 29 September 2024	137,654	137,654
Charge for the period	24,097	24,097
Impairment	8,584	8,584
Disposals	553	553
At 28 September 2025	<u>170,888</u>	<u>170,888</u>
Net book value		
At 28 September 2025	<u>141,158</u>	<u>141,158</u>
At 29 September 2024	<u>153,660</u>	<u>153,660</u>

The recoverability of the right-of-use asset was tested, as part of the annual impairment review by the Company, for impairments. The impairment review of the right-of-use asset in the above table, were tested along with the carrying values of the Tangible fixed assets within Note 12.

The total cash outflow for leases amount to £31,089,082 (FY24 : £31,896,592).

14. Stocks

	28 September 2025	29 September 2024
	£000	£000
Goods for resale	<u>1,789</u>	<u>1,981</u>
	<u>1,789</u>	<u>1,981</u>

There is no material difference between the Balance sheet value of stocks and their replacement cost.

15. Debtors

	28 September 2025	29 September 2024
	£000	£000
Amounts falling due after more than one year:		
Deferred tax asset	<u>57,735</u>	<u>37</u>
	<u>57,735</u>	<u>37</u>

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	28 September 2025 £000	29 September 2024 £000
Amounts falling due within one year:		
Trade debtors	24,171	27,273
Expected credit loss provision	(48)	(83)
Accrued Income and other debtors	7,281	5,554
Amounts due from other group undertakings	19,564	2,186
Other taxation and social security	987	—
Investment in sublease (note 18)	2,130	2,176
Prepayments	7,309	3,978
	61,395	41,084

The terms of group intercompany invoices are settled on 30 day terms. No interest is charged on this balance and this balance is unsecured.

16. Creditors - amounts falling due within one year

	28 September 2025 £000	29 September 2024 £000
Trade creditors	21,135	9,441
Amounts owed to group undertakings	66,942	72,178
Other taxation and social security	—	2,362
Current lease liability (note 18)	32,317	31,027
Other creditors	3,943	3,268
Deferred income	9,709	5,582
Accruals	32,531	20,518
	166,577	144,376

Amounts owed to other group undertakings includes a £50,000,000 (FY24: £40,000,000) draw down facility expired on 31 December 2025. Post year end, the company has entered into a new RCF arrangement with a term to 31 December 2026 for £70,000,000. Interest payable to related parties at a rate of 5.19% for FY25 (FY24: 5.47%).

Accruals include costs relating to FY25 store closure and reassignment costs arising from the Company's portfolio optimisation initiative, comprising fixed lease termination penalties, legal and agent fees, dilapidation and strip-out obligations, storage costs, and other directly attributable closure costs.

The remaining balance relates predominantly to the purchase of coffee from Starbucks for resale within the UK market. The terms of group intercompany invoices are settled on 30 day terms. No interest is charged on this balance.

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17. Creditors - Amounts falling due after more than one year

	28 September 2025	29 September 2024
	£000	£000
Non current lease liability (note 18)	154,247	159,037
Accruals and deferred income	117	85
	<u>154,364</u>	<u>159,122</u>

Accrued and deferred income amounts due after more than one year consist of deferred revenue relating to stored value cards.

18. Lease Liability

	28 September 2025	29 September 2024
	£000	£000
Maturity		
Year 1	32,317	31,027
Year 2	30,331	29,051
Year 3	26,259	26,412
Year 4	23,310	22,715
Year 5	20,670	20,871
Onwards	80,157	83,752
	<u>213,044</u>	<u>213,828</u>
Less unearned interest	<u>(26,479)</u>	<u>(23,764)</u>
	<u>186,565</u>	<u>190,064</u>
Analysed		
Non Current	154,247	159,037
Current	32,317	31,027

The Company does not face a significant liquidity risk with regard to its lease liabilities. Lease liabilities are monitored within the Company's accounting and property functions.

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Below is a maturity analysis of the investment in the sublease:

	28 September 2025	29 September 2024
	£000	£000
Maturity		
Year 1	2,130	2,176
Year 2	1,903	1,851
Year 3	1,783	1,630
Year 4	1,664	1,509
Year 5	1,653	1,391
Onwards	4,928	4,409
	<u>14,061</u>	<u>12,966</u>
Less unearned interest	<u>(479)</u>	<u>(231)</u>
	<u>13,582</u>	<u>12,735</u>
Analysed		
Non Current	11,452	10,558
Current	2,130	2,176

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19. Deferred tax

The following are the major deferred tax liabilities and assets recognised by the Company and movements thereon during the current reporting period.

	Share Based Payments	Fixed Asset Timing Differences	Provisions	Losses	Total
	£000	£000	£000	£000	£000
At 29 September 2024	625	(664)	76	—	37
(Charge)/credit to profit or loss	(69)	53,391	40	4,336	57,698
At 28 September 2025	556	52,727	116	4,336	57,735

Deferred tax assets and liabilities are offset where the Company has a legally enforceable right to do so. The following is the analysis of the deferred tax balances (after offset) for financial reporting purposes:

	28 September 2025 £000	29 September 2024 £000
Deferred tax assets	57,735	37
	57,735	37

In FY24, the Company had unrecognised deferred tax assets of £64.3m arising from fixed-asset timing differences relating to capital allowances that not been claimed and were not expected to be utilised. In addition, a deferred tax liability of £0.7m was recognised in respect of fixed assets that had been fully expensed for tax purposes. This approach reflected the priorities of the business at the time. In FY25, as the Company refocused on strengthening cash flow and supporting a sustainable recovery and investment in the business, management updated its capital-allowances strategy. Accordingly, a net deferred tax asset of £52.7m has been recognised at the balance sheet date. This reflects the recognition of deferred tax assets previously unrecognised in FY24, the reversal of the deferred tax liability recognised in respect of fully expensed assets, and timing-difference movements arising in the current period.

The deferred tax asset recognised in the period is expected to be utilised over an estimated period of approximately 10 years, primarily through the use of available capital-allowance deductions arising from historic asset pools, together with the application of group relief (to be paid for by the claimant company) and the generation of taxable profits. Based on management's approved forecasts, deductible temporary differences relating to capital allowances are expected to reduce significantly over the forecast period, while brought-forward tax losses are expected to be fully utilised by FY29. Management considers it probable that the deferred tax asset will be fully recoverable in accordance with the requirements of IAS 12.

20. Share capital

	28 September 2025 £000	29 September 2024 £000
Authorised, allotted, called up and fully paid		
3,170,856 (2024: 3,170,856) ordinary shares of £0.10 each	317	317

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21. Reserves

The Company's reserves are made up as follows:

Called up share capital

Called up share capital represents the nominal value of shares that have been issued.

Share premium account

The share premium account records the amount above the nominal value received for shares sold, less transaction costs.

Statement of Profit or loss

The Statement of Profit or loss represents cumulative profits, losses and total other recognised gains or losses made by the Company, including distributions to, and contributions from, the parent company.

22. Other Commitments

At 28 September 2025, the Company had entered into commitments for capital expenditure with respect to Property Plant and Equipment of £159,991 (FY24: £683,575).

23. Share-based payments

Equity-settled share option scheme

The Company participates in a share option scheme for all employees. Options are exercisable on the shares of the ultimate parent company, Starbucks Corporation, at a price equal to the estimated fair value of the parent company's shares on the date of grant and are treated as equity-settled share based payments.

No options were granted in fiscal 2025 and 2024.

The total expense recognised in the year in respect of equity settled share based payments was £2.8m (FY24: £2.8m) and these have been credited to capital contribution.

24. Parent company and ultimate parent company

The Company's immediate parent company and controlling party is Starbucks Coffee Holdings (UK) Limited, a company incorporated in the United Kingdom and registered in England and Wales.

Starbucks Corporation, a company registered in Washington, USA, is considered to be the ultimate parent and controlling party, and is the largest and smallest group in which the results of the Company are consolidated. The registered office address is 2401 Utah Avenue South, Seattle, Washington, USA.

Copies of the consolidated financial statements of Starbucks Corporation can be obtained from the Investor Relations section of the Starbucks website at investor.starbucks.com.

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25. Retirement benefit schemes

Defined contribution schemes

The Company operates defined contribution retirement benefit schemes for all qualifying partners. The assets of the schemes are held separately from those of the Company in funds under the control of trustees. Where there are employees who leave the schemes prior to vesting fully in the contributions, the contributions payable by the Company are reduced by the amount of forfeited contributions.

The total cost charged to income of £1,754,986 (FY24: £1,696,280) represents contributions payable to these schemes by the Company at rates specified in the rules of the plans. As at 28 September 2025, contributions of £232,454 (FY24: £125,785) due in respect of the current reporting period had not been paid over to the schemes.

26. Post balance sheet event

Subsequent to the balance sheet date, the Company undertook the following significant events:

FY25 Store Closures and Reassignment

On 25th September 2025, the Company announced a one-time portfolio optimization initiative to close loss-making stores in the UK. By the fiscal year-end (28 September 2025), three stores had been closed. In the two months following year-end, an additional 62 stores were closed.

This initiative represents a non-adjusting subsequent event under IAS 10, as the closures do not provide evidence of conditions that existed at the reporting date. However, certain costs were recognised in FY25 in accordance with IAS 36 (Impairment), IFRS 16 (Leases), IAS 37 (Provisions), and IAS 19 (Employee Benefits) where obligating events occurred before 28 September 2025 and recognition criteria were met. These include:

- Asset impairments (leasehold improvements and fixtures) where recoverable amount was nil.
- ROU asset impairments due to cessation of operations.
- Fixed lease termination penalties contractually triggered and reliably measurable.
- Severance costs for employees notified before year-end.
- Dilapidation and strip-out costs where contractual obligations existed and were reliably estimable.
- Legal and agent fees incurred or contractually committed by 28 September 2025.
- Inventory write-offs for stores that closed before 28 September 2025.

Negotiations with landlords for exit terms are ongoing. Approximately 45% of partners from affected stores have been reassigned to other locations.

23.5 Degrees Group – Post-Year-End Restructuring Activities

Following the balance sheet date, the Company undertook a number of steps to simplify the structure of the 23.5 Degrees Group, which had been acquired by Starbucks Corp in October 2024.

Starbucks Corp transferred its beneficial interest in 23.5 Degrees Limited to Starbucks Coffee Holdings (UK) Limited, the immediate parent of the company, on the 14th of November 2025.

On 22 December 2025, Starbucks Coffee Holdings (UK) Limited, authorised the transfer of its beneficial interest in 23.5 Degrees Limited to Starbucks Coffee Company (UK) Limited.

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Subsequently, on 23 February 2026, the Company executed a Business Transfer Agreement with 23.5 Degrees Limited, under which the entire business — including operations, assets, liabilities and associated employees (transferred under TUPE) — was transferred as a going concern. This transfer was completed at nil consideration through a dividend in specie declared by 23.5 Degrees Limited.

In line with IAS 10, these restructuring steps are treated as non-adjusting events, as they reflect decisions and conditions arising after the reporting date of 28 September 2025. No amendments have therefore been made to the FY25 financial statements.

Capital Contribution from Parent Company

On 20 February 2026, the Company received a £60 million capital contribution from Starbucks Coffee Holdings (UK) Limited to support liquidity requirements arising from trading pressures in FY24 and FY25, the store-closure programme, and the post-acquisition restructuring of the 23.5 Degrees Group.

As part of the same funding initiative, the Company provided a £20 million capital contribution to 23.5 Degrees Limited to support its ongoing restructuring and working-capital needs. Of the funds received from the parent, £40 million was applied to reduce the outstanding balance on the Company's £55 million credit facility. The capital contribution also restores the Company's equity position, which had become negative following the FY25 loss.

Consistent with IAS 10, these funding arrangements constitute non-adjusting subsequent events, as they relate to actions undertaken after 28 September 2025 and do not provide evidence of conditions existing at that date. No adjustments have been made to the financial statements.

No other matter or circumstance has arisen since 28 September 2025 that has had, or is expected to have, a material effect on the Company's operations, financial results, or financial position.